Performance Addendum

Historical performance snapshot (BTC Standard)

Backtests are provided for education and transparency. Past performance is not a guarantee of future results.

Performance snapshot

Assumptions: $50/week contributions, $1,000 initial buffer, fees included. Window: 2017-01-01 to 2026-02-09 (9.1 years).

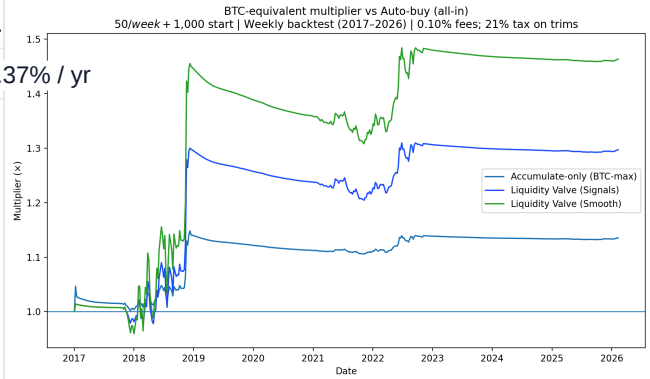
Mode	BTC-eq	Multiple vs auto-buy	Extra sats vs auto-buy	An ac
Auto-buy	3.757	1.00x	-	0.
Accumulate-only	4.264	1.14x	+50.8M	1.
Valve Signals	4.873	1.30x	+111.6M	2.
Valve Smooth	5.544	1.48x	+178.8M	4.37% / yr

Key takeaways

- The goal is not to predict price. The goal is to systematically accumulate more sats over time.
- The best-performing historical mode produced 1.48x BTC-equivalent versus auto-buy in this window.
- "Annual BTC accretion" measures the compound advantage in BTC terms (not USD). Even small % differences can matter enormously over long horizons.

BTC multiplier vs auto-buy (illustrative)

Tracks the cumulative BTC-equivalent advantage over time.



Note: exact signal logic is proprietary; results shown are net of fees for this configuration.

Performance Addendum

Robustness across start dates

Same configuration, different starting windows. This helps show how the approach behaves across multiple market regimes.

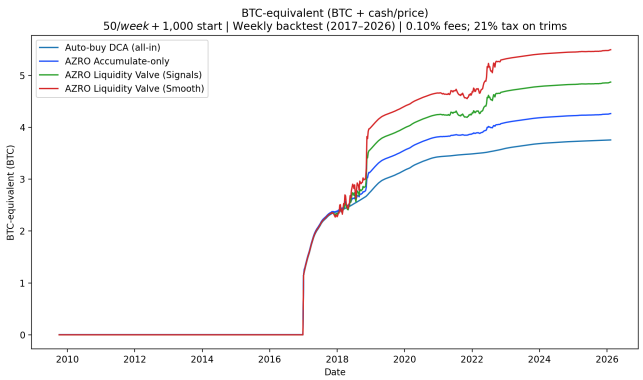
Start-date examples (Valve Smooth vs auto-buy)

Window start	Total contributed	Auto-buy BTC-eq	Valve Smooth BTC-eq	Smooth multiple
2017-01-01	$24,800	3.757	5.544	1.48x
2020-01-01	$17,000	0.626	0.870	1.39x
2022-01-01	$11,800	0.358	0.398	1.11x
2023-01-01	$9,200	0.199	0.251	1.26x
2024-01-01	$6,600	0.102	0.120	1.17x

Interpretation: Different start dates produce different outcomes. The objective is to improve long-run execution and accumulate more sats across cycles - not to "win" every month.

BTC-equivalent balance over time

Shows how the BTC-eq stack evolves under each mode.



BTC-eq includes remaining buffer converted to BTC at the end of the window.

Methodology and assumptions

- Data: Weekly BTC price index. Window shown: 2017-01-01 to 2026-02-09.
- Budget: $50 per week allocated from operating surplus (illustrative).
- Cash buffer: Strategy maintains a cash buffer; BTC-eq includes leftover cash valued at end-of-window price.
- Fees: 10 bps per buy/sell (example).
- No leverage: No margin, no borrowing, no derivatives, no lending or yield products.
- Taxes/spreads/slippage/custody: Not modeled; these can change outcomes materially.

Why "small alpha" compounds: If a rules-based process can accumulate even a small extra amount of BTC each year versus naive buying, the effect compounds over time.

Reminder: figures are historical and illustrative. Bitcoin's future returns, volatility, and liquidity conditions are unknown.

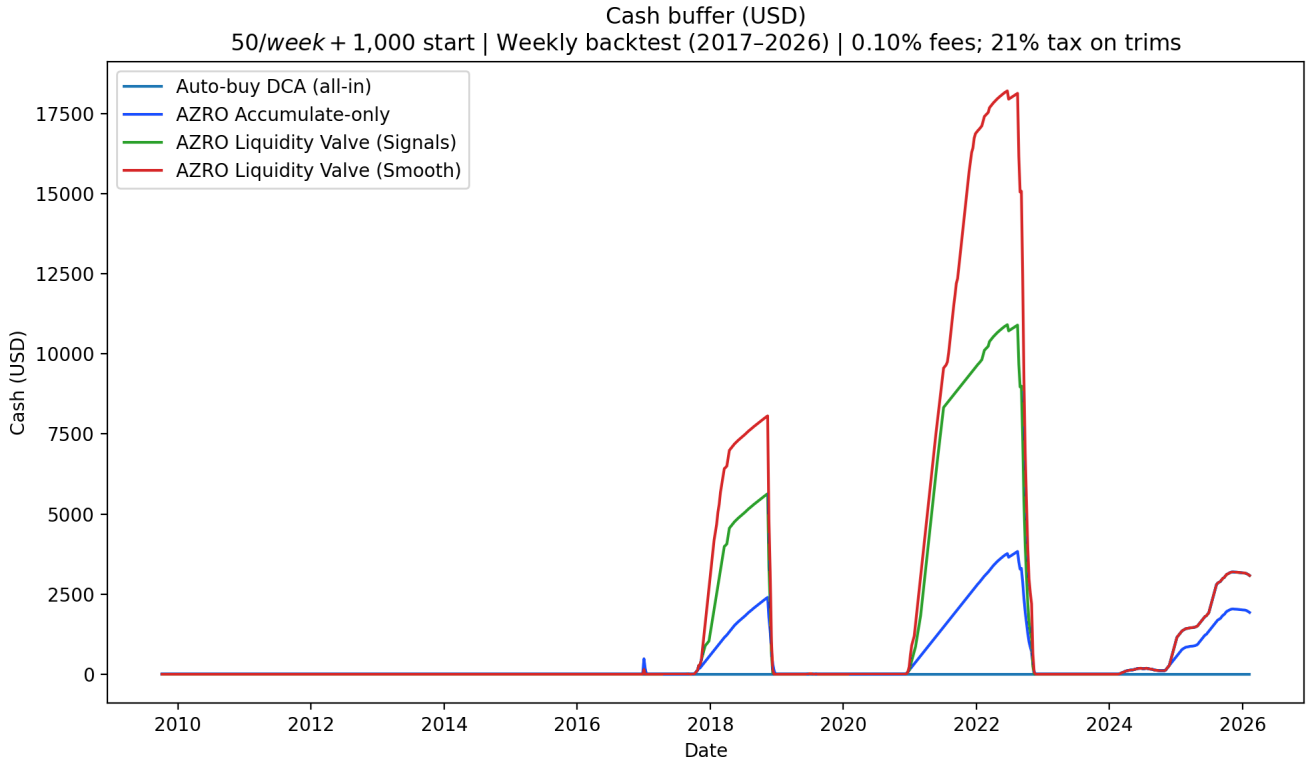
Performance Addendum

Volatility as opportunity: cash buffer behavior

The cash buffer is not "dead money." It is part of the system that prevents forced selling and enables more disciplined buying when price is dislocated.

How the buffer helps

- Prevents forced selling. If revenue dips or expenses spike, the buffer can absorb shocks without touching BTC reserves.
- Enables opportunistic buys. In deep drawdowns, the engine can allocate more of the buffer toward BTC purchases (within policy).
- Creates psychological stability. A clear buffer target reduces emotional decisions and makes the process sustainable.



Cash buffer over time (illustrative). The buffer may rise in strong markets and be deployed more aggressively in drawdowns, depending on mode and settings.

Important

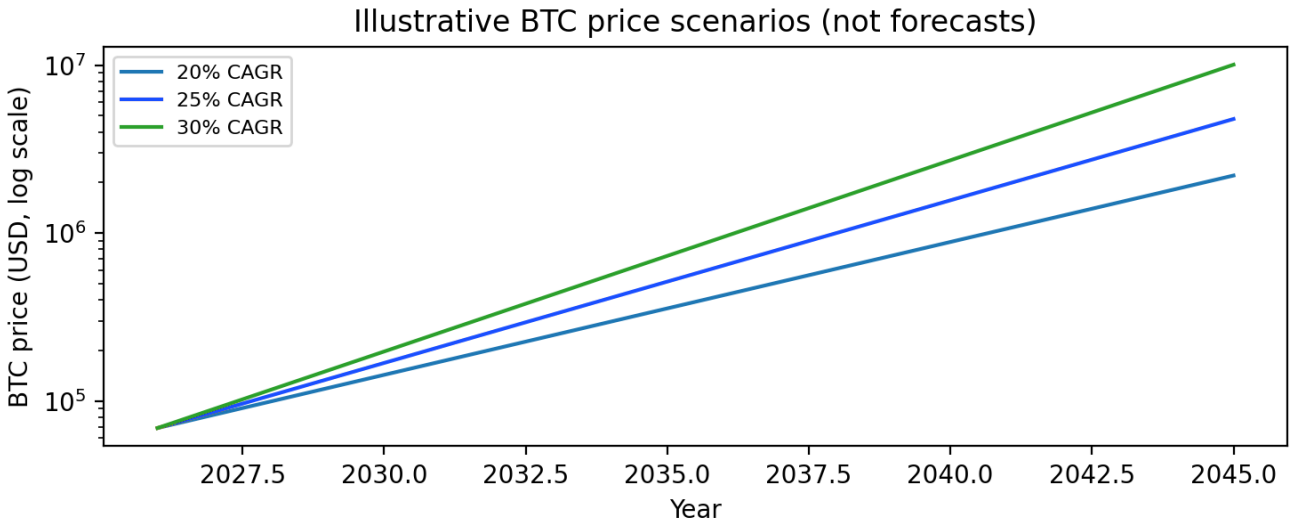
The buffer size and drawdown behavior should be customized to your business. A restaurant and a software consultancy have different liquidity needs. Start conservative.

Performance Addendum

Forward illustrations (not forecasts)

These are scenario illustrations to help understand how sat accumulation differences can translate into large dollar differences over long horizons. They are not price predictions.

Illustrative price paths



Illustrative price scenarios (CAGR paths). The future is uncertain; this is for education.

High reference path (example)

Year	Illustrative BTC price
2030	$202,713
2035	$812,842
2040	$3.24M
2045	$13.00M

Why a high repricing path can be plausible

In a world of high sovereign debt, policy incentives often favor expansive monetary responses. If monetary units expand faster than scarce assets, scarce assets can be repriced upward. Bitcoin's fixed supply schedule makes it uniquely sensitive to long-run monetary expansion.

Performance Addendum

Example outcomes in dollars (illustrative)

These examples apply an illustrative long-range price path and assume the sat-accumulation advantages observed historically. They are not promises.

Example A: $50/week + $1,000 starting cash

Mode	BTC (2045)	USD value (2045)
Auto-buy	0.156	$2.02M
Accumulate-only	0.203	$2.63M
Valve Signals	0.267	$3.47M
Valve Smooth	0.343	$4.46M

Example B: $250/week + $1,000 starting cash

Mode	BTC (2045)	USD value (2045)
Auto-buy	0.718	$9.33M
Accumulate-only	0.935	$12.15M
Valve Signals	1.232	$16.02M
Valve Smooth	1.582	$20.57M

How to use this responsibly

These examples combine (1) long time horizons, (2) disciplined weekly budgeting, and (3) higher sat accumulation. The right starting posture is conservative: size your budget so the business can hold through cycles without distress.